BOARD MEETING OF THE CBA

MINUTES

(12.03.2019)

On the Refinancing Rate

The CBA Board Meeting of March 12, 2019 attended by Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan, and Martin Galstyan

The Board meeting opened with presentation of the Situation Report as of March 12, 2019. It addressed the developments on the inflation, external environment and real, fiscal and monetary sectors of the economy.

There was **0.6% inflation in February of 2019, which was totally due to changed prices in commodity group "Food and non-alcoholic beverage".** In particular, in groups such as "Fruit" and "Vegetable" the prices grew during the month by 1.7% and 7.4%, respectively (with a combined contribution of 0.5 pp to the month's inflation). In February, non-food prices and service tariffs declined by 0.4% and 0.1%, respectively. As a result, the 12-month inflation rate grew during the month, amounting to 1.9% as opposed to 0.5% deflation registered for the same month of the previous year. Unlike headline inflation, the **12-month core inflation continued reducing during the month, to 1.3% compared with 2.6% recorded for the start of the year.**

Addressing the current economic environment, the Board stated that economic activity **in the fourth quarter of 2018 was higher-than-expected, owing to the growth in services, trade and construction,** as a result of which the year ended with a 5.2% economic growth. From a demand point of view, that was reflected in strong private consumption growth, which was largely driven by grown lending to the economy. At the same time, the **domestic demand growth was somewhat contracted by the impact of the implemented fiscal policy.** These trends persisted in early 2019: in January, relative to the previous period last year, the economic activity indicator has also exceeded the expected level, reaching 6.1%, based on which the CBA made upside revision to the growth forecast for the first quarter, hence for the year.

The Board looked to the latest external sector developments which are pointing to slowdowns in global economic growth, as the global demand slackened. Influenced by the latter, **the inflation environment in**

the international markets of raw materials and food products has weakened, except for copper and sugar prices which continue to grow. In this situation, the US Federal Reserve and the European Central Bank stated that, in response to the slowdown in economic growth and inflation, the former is set to postpone and the latter to get slower with the adjustment of monetary conditions, while the ECB would further be concluding long-term repo agreements. The Central Bank of Russia will keep monetary conditions contractionary, as both inflation and inflation expectations are still high and exceed the target value.

The developments in the domestic financial market were touched upon. The Board admitted that **interest rates in the financial market dropped in early of the year** in line with the refinancing rate that was lowered in January, **helping the interest rates shape around the policy rate.**

Following the discussion of the Situation Report and of the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. The options whether the refinancing rate is to be left unchanged or lowered were considered. In the current situation, gradual recovery of inflation is preferable by the Board since low inflation contributes to anchoring long-term inflation expectations and maintaining the purchasing power of income. Also, in view of the lack of considerable inflationary effects from external and domestic economies in the upcoming period because of persistently weak global and domestic demand, and that the current interest rate is still estimated to be rather expansionary on the back of interest rate rise by major trading partner countries, the Board finds it reasonable to leave the interest rate unchanged. The Board has a consensus that in view of predictable macroeconomic developments, the monetary conditions have to be kept expansionary for as long as required, in fulfillment of the inflation target in the medium run. **As a result, the expectation is that, in the coming months the inflation will run below the target, stabilizing around the established value later on.**

The Board also referred to existing inflationary risks; these are mostly on a downside path and associated with spillover effects on domestic prices due to more-than-anticipated deflationary environment in the external sector, on the one hand, and weakening of economic activity in Armenia as compared to the baseline scenario, on the other. In the event these risks materialize, an appropriate monetary policy response will follow in order to ensure price stability in the medium-term perspective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

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March 12, 2019

No. 30 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. To leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, 5.75%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1 Lombard facility rate offered by the Central Bank to be 7.25%.

2.2. Deposit facility rate offered by the Central Bank to be 4.25%.

3. This decision shall take force on the day following the adoption thereof.

Nerses Yeritsyan,
Deputy Chairman of the Central Bank

March 12, 2019
c. Yerevan

PRESS RELEASE
12.03.2019

In the March 12, 2019 meeting, the Board of the Central Bank of Armenia (CBA) decided to leave the refinancing rate unchanged, at a 5.75% level.

There was 0.6% inflation in February of 2019, compared with 0.5% deflation registered in the same month of 2018, in which case the 12-month inflation rate has increased, amounting to 1.9%. The rise in prices of seasonal products has totally contributed to the month's inflation.

As global economic growth rates are slowing down, the global demand has somewhat weakened, with a low inflation environment persisting in international markets of basic commodities. In the meantime, central banks of leading countries temporarily withheld from adjusting their monetary conditions. In view of these developments, the Board of the CBA considers that no inflationary pressures from the external sector are likely in the upcoming months.

The Board states that, according to Q4, 2018 actual results, the economic activity has been higher than expected, which was driven mainly by the high growth in private consumption. The relatively high economic activity was also observable at the start of 2019; it made up 6.1% in January. It should be noted that at the beginning of the year too, the fiscal policy continues to have a contractionary effect on the domestic demand, which, according to the CBA estimation, will phase out over the first half of the year.

In consideration of the current situation, the Board has a preference for the gradual recovery of inflation, as low inflation contributes to anchoring long-term inflation expectations and maintaining purchasing power of incomes. Taking into account the aforementioned trends, the Board finds it reasonable to keep monetary conditions expansionary, leaving the refinancing rate unchanged. At the same time, in view of the anticipated macroeconomic developments, to leave monetary conditions expansionary for a long period of time will be needed for maintaining price stability in the medium run. As a result, the expectation is that the inflation will be running below the target but later stabilizing around the target value in the coming months.

Risks to fulfillment of the inflation target in the forecast horizon are assessed still downside, due to both external and internal factors. An adequate monetary policy response will come along if such risks emerge, in order to maintain price stability in the medium run.

Detailed information that underlies the decision on setting of the interest rate will be available in Inflation Report (Monetary Policy Program, Q1. 2019) to be published by March 26, 2019.

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Press Service of the Central Bank of Armenia